

25STCV04289 25STCV04289

County: los-angeles

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Case Number: 25STCV04289 Hearing Date: July 7, 2026 Dept: 730

Superior Court of California

County of Los Angeles

Department 730

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PEOPLE OF¿THE STATE OF CA., EX REL ALLSTATE INSURANCE COMPANY,¿

Plaintiff,

vs.

BROADWAY RADIOLOGY, INC., et al.,

Defendants.

Case No.:

25STCV04289¿

Hearing Date:

July 7, 2026

[TENTATIVE] ORDER RE: MOTIONS TO SET ASIDE DEFAULT

I. BACKGROUND

On February 13, 2025, Relator Allstate Insurance Company ("Allstate"), on behalf of itself and on behalf of the People of the State of California ("Plaintiffs") filed a Complaint against defendants Broadway Radiology, Inc. ("Broadway Radiology"), Alvarado Cerda ("Cerda"), (together "Defendants") and Does 1 through 200 asserting violations of the Insurance Frauds Prevention Act and the Unfair Competition Law.

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On October 22, 2025, Plaintiffs obtained entry of default against Defendants.

On January 26, 2026, Cerda filed a motion to set aside entry of default and default judgment.

On January 27, 2026, Broadway Radiology filed a motion to set aside entry of default and default judgment.

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On April 21, 2026, Plaintiffs filed oppositions to both motions.

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On April 27, 2026, Defendants filed a reply.

II. REQUEST FOR JUDICIAL NOTICE

Plaintiffs request judicial notice of the following:

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Exhibit A: Tax Resolution, Inc. v. Broadway Radiology, Inc. (LASC Case No. 24STLC03306);

Exhibit B: Tax Resolution, Inc. v. Broadway Radiology, Inc. Complaint (LASC Case No. 24STLC03306);

Exhibit C: Tax Resolution, Inc. v. Broadway Radiology, Inc. First Amended Complaint (LASC Case No. 24STLC03306);

Exhibit D: State of California Secretary of State, Broadway Radiology, Inc. Statement of Information;

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Plaintiffs' request is granted pursuant to Evidence Code section 452, subdivision (c) and (d) because Exhibits A-C are court documents and Exhibit D is an executive document. Upon taking notice of court records, the court accepts as true only

that (1) they were filed and (2) the assertions therein were made; the court does not take notice of the truth of their contents. (See *Joslin v. H.A.S. Ins. Brokerage* (1986) 184 Cal.App.3d 369, 374-375; see also *Day v. Sharp* (1975) 50 Cal.App.3d 904, 916.)

III. LEGAL STANDARD

Code of Civil Procedure ("CCP") § 473(b) states: "The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief ... shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. ... Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any ... dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect. The court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties."

The trial court has broad discretion to vacate the judgment and/or the clerk's entry of default that preceded it. However, that discretion can be exercised only if the moving party establishes a proper ground for relief, by the proper procedure, and within the time limits below. (See *Cruz v. Fagor America, Inc.* (2007) 146 Cal.App.4th 488, 495.)

Evidence that the defendant was seriously ill, or feeble, or unable to understand that he was being served with process, is sufficient to justify discretionary relief under § 473(b). Such evidence shows "excusable neglect" in allowing default to occur. (See *Kesselman v. Kesselman* (1963) 212 Cal.App.2d 196, 207-208.) Similarly, evidence that the defendant mislaid or misfiled the papers, and as a result failed to contact a lawyer in time, may show "excusable" neglect. (See *Bernards v. Grey* (1950) 97 Cal.App.2d 679, 683-686.) But it is not enough simply to show that the client was "busy" and "forgot" about the lawsuit; i.e., such neglect is inexcusable. (See *Andrews v. Jacoby* (1919) 39 Cal.App. 382, 383-384.) Likewise, it is not ground for relief that defendant failed to answer the complaint because he was indigent and couldn't afford a lawyer. Such a defendant could have obtained help from legal aid offices or appeared in forma pauperis. (See *Davis v. Thayer* (1980) 113 Cal.App.3d 892, 905-910 [denying relief on basis that evidence was insufficient as a matter of law where an elderly defendant, who was ill and preoccupied with caring for her dying husband, turned the complaint over to her son who promised to "take care of the problem" but never did].) A defendant's mistake in judgment in electing to proceed in propria persona does not constitute excusable neglect. (See *Burnete v. La Casa Dana Apartments* (2007) 148 Cal.App.4th 1262, 1264.)

IV. DISCUSSION

Here, Plaintiffs obtained entry of default against Defendants on October 22, 2025 and Defendants sought relief under CCP section 473(b) on January 26, 2026. Thus, the motions are timely. In addition, Defendants each attach a copy of their proposed pleadings, a general denial, to their motions to set aside entry of default.

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Defendants argue that default was entered as a result of mistake and inadvertence. In support of their motions, both Defendants submit the declaration of Cerda which states, "During late September or early October of 2025, I received some items in the mail, which I opened, but did not read. I handed the items to my secretary and book-keeper Ms. Carmen Bullard, and I asked Ms. Bullard to look into the matter and let me know what should be done. During late October or in early November of 2025, Ms. Bullard informed me that I was not a defendant in the lawsuit, but that Broadway Radiology, Inc., was the defendant. Based upon this information I did not take immediate action to retain counsel to defend this matter." (Cerda Decl., ¶¶ 3, 4.)

Defendants also submit the declaration of Bullard. Bullard states that Cerda handed Bullard some documents that were mailed to Broadway Radiology and asked Bullard to look into the matter. (Bullard Decl., ¶¶ 2, 3.) Bullard informed Cerda that he was not personally a defendant in the case. This was an error. After coming across the papers regarding the lawsuits again, [Bullard] realized that in the Allstate v. Broadway matter, Mr. Cerda was indeed a defendant. It was in early January of 2026, that [Bullard] brought the court documents to Mr. Cerda's attention and pointed out to him that he was an individual defendant in the Allstate v. Broadway matter." (Id. at ¶¶ 3, 4.)

Defendants cite *Bernards v. Grey* (1950) 97 Cal. App.2d 679 (Bernards) for the proposition that their mistake should be excused. In *Bernards*, the court granted a motion to set aside default on the grounds of excusable neglect where the defendant alleged that he had placed the summons and complaint in his briefcase and did not check his briefcase until the matter was called to his attention by his attorney. (Id. at p. 683-686.)

The Court finds that excusable neglect, mistake or inadvertence has been established as to Cerda. The law favors judgments on the merits. Thus, on a motion for relief from default, "doubts must be resolved in favor of relief, with an order denying relief scrutinized [on appeal] more carefully than an order granting it." (Lasalle v. Vogel (2019) 36 Cal.App.5th 127, 134.) The declarations establish that Cerda was erroneously notified that he was not a party to the case and took action after discovering the mistake. However, the declarations do not establish that there was a mistaken belief that Broadway Radiology was not a party to the action. On the contrary, the declarations establish that Cerda and Bullard were aware that Broadway Radiology was always a party to the case. Although Bullard may have "erroneously notified" Cerda that he was not a defendant in the matter, Cerda knew that Broadway Radiology was a defendant in the case. (Cerda Decl., ¶ 4.) Thus, Broadway Radiology has not established mistake, inadvertence, or excusable neglect.

In reply, Defendants argue for the first time that Cerda was never personally served with the Summons and Complaint.

The Court cannot consider new arguments or evidence for the first time in the reply as it would deprive Plaintiffs' the opportunity to respond and thus, violate their due process rights.

V. CONCLUSION

Based on the foregoing, Defendant Cerda's motion to set aside is GRANTED.

Defendant Broadway Radiology's motion to set aside is DENIED.

Moving Party is ordered to give notice.

DATED: July 7, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer after reading this tentative ruling to see if they can reach an agreement.
- If a party intends to submit on this tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.
- Unless all parties submit by email to this tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.
- If the parties neither submit nor appear at hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.

TENTATIVE RE DEFAULT JUDGMENT

The request for default judgment submitted on January 23, 2026 is DENIED for the following reasons:

First, Defendant Cerda's motion to set aside entry has been granted. Thus, the request for default judgment against him is moot.

As to Broadway Radiology Inc.:

The complaint seeks principal damages in the amount of \$6,755,000, but the default judgment seeks \$6,755,500.

Does 1-200 have not been dismissed. Neither has Defendant Cerda.